

Criticism of Telmore A/S' Handling of Personal Data

Date: 29-04-2024

Decision

Private Companies

Criticism

Complaint

Transfer to Third Countries

Right to Access

The Data Protection Authority has made a decision in a case where a citizen complained about Telmore A/S' disclosure of his email address to Meta Ireland. The case has been processed by the Data Council.

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Summary

The Data Protection Authority has received a complaint from a citizen who has complained that Telmore A/S has disclosed his personal data to Meta Ireland. The complaint contained four specific points:

1. Telmore's disclosure of the complainant's personal data to Meta Ireland
2. Telmore's transfer of the complainant's personal data to the USA
3. Telmore's inadequate compliance with its obligation to inform
4. Telmore's insufficient response to the complainant's request for access

According to Telmore, the disclosure was made in order to exempt the complainant from the company's targeted marketing on Facebook. This was done using Facebook's Custom Audience tool, which allows companies to tailor their ads to specific user groups. The tool works by the company disclosing information—such as email addresses—about, for example, customers, which is then matched with Meta Ireland's own information about Facebook users. In this case, Telmore assessed that Meta Ireland acted as a data processor for the company.

Data Protection Authority Expresses Criticism

In its decision, the Data Protection Authority concluded that Telmore's handling of the complainant's personal data could not be based on the balancing of interests rule—therefore, the Data Protection Authority chose to express criticism. Furthermore, Telmore's assessment of the division of roles between the company and Meta Ireland was set aside by the authority, which stated that there was joint data responsibility in this case. The Data Protection Authority found that Telmore had not established its responsibility for compliance with the obligations in the General Data Protection Regulation (GDPR) as a joint data controller with Meta Ireland. However, the Data Protection Authority chose not to express criticism regarding this, as the lack of establishment of responsibility was due to the Data Protection Authority exceptionally setting aside Telmore's assessment of the division of roles.

No Further Investigation

The Data Protection Authority further concluded that it was not appropriate to continue the investigation of the remaining points of complaint in the case. This was because it is a crucial prerequisite for complying with data protection rules that one correctly identifies one's own role in the processing of personal data, including the division of roles with any partners. Since the Data Protection Authority set aside Telmore's assessment of this fundamental prerequisite, a continued investigation would not provide the complainant with accurate information about how the data was processed. The Data Protection Authority also emphasized that Telmore no longer shared the complainant's email address with Meta Ireland. The Data Protection Authority instructed Telmore that if the company continues to expect to use Meta Ireland's Custom Audience tool, it must ensure that there is a so-called arrangement for joint data responsibility that establishes the parties' respective responsibilities for compliance with the obligations in the GDPR.

Decision

The Data Protection Authority hereby returns to the case, where the complainant on August 27, 2021,

complained to the authority that (i) Telmore A/S has disclosed his personal data to Meta Platforms Ireland Ltd., formerly Facebook Ireland Ltd ("Meta Ireland"), (ii) his personal data has been transferred to the USA, (iii) Telmore has not informed him about the disclosure and transfer, and (iv) Telmore has not adequately responded to his request for access.

1. Decision

After reviewing the case—and after the case has been presented to the Data Council—the Data Protection Authority finds that there is grounds to express criticism that Telmore's disclosure of the complainant's email address to Meta Ireland for marketing purposes has not occurred in accordance with the General Data Protection Regulation's[1] Article 6, paragraph 1.

Furthermore, the Data Protection Authority finds that Telmore has not established its responsibility for compliance with the obligations in the General Data Protection Regulation in accordance with the Regulation's Article 26, paragraph 1.

Considering the specific circumstances of the case, where Telmore's inadequate compliance with the General Data Protection Regulation's Article 26 is due to the Data Protection Authority setting aside Telmore's original assessment of the division of roles between the company and Meta Ireland, the authority finds that there are no grounds to express criticism of Telmore in this regard.

For the same reason, the Data Protection Authority finds that it is not appropriate to continue the investigation of Telmore's compliance with the rules on the obligation to inform, the right of access, and the transfer of personal data to third countries.

Below follows a detailed account of the case and a justification for the Data Protection Authority's decision.

2. Case Presentation

The case shows that the complainant requested insight into his personal data held by Telmore on January 15, 2021. Telmore granted the complainant's request for insight on February 15, 2021, and also referred to Telmore's privacy notice in this connection. The complainant contacted Telmore again on August 12, 2021, specifically requesting insight into Telmore's use of predictive models and data related to Facebook, including the transfer of data to Facebook. Telmore responded to the complainant's new request on August 27, 2021.

2.1. Complainant's Remarks

The complainant has generally stated that Telmore has disclosed his personal data to Meta Ireland, after which his personal data has been transferred to the USA. Furthermore, the complainant has stated that he has not received information about the disclosure and transfer, and that Telmore has not adequately responded to his request for insight. The complainant initially stated that Telmore should at least be considered a joint data controller for the disclosure of his information. The complainant referred to the EU Court of Justice ruling in Fashion ID[2]. The complainant has asserted that Telmore determines the purpose of the processing and the means by which the processing occurs. The complainant further stated that Telmore has not mentioned that data is transferred outside the EU/EEA, and that the company has not sufficiently explained how it ensures the necessary guarantees, which is why the company does not comply with the obligation in Article 26, paragraph 2 of the Regulation.

Regarding Telmore's legal basis for disclosing the personal data, the complainant has stated that the interests or fundamental rights and freedoms of the data subject take precedence over Telmore's interest in disclosing the information. The complainant has also stated that it must be expected that the information provided for something as necessary and essential as a mobile subscription does not imply that personal data is also disclosed to various other parties for purposes other than the strictly necessary. In this connection, the complainant referred to recital 47 of the General Data Protection Regulation, which states, among other things, that "the interests and fundamental rights of the data subject may particularly override the interests of the data controller if personal data are processed in circumstances where the data subject does not reasonably expect further processing."

Furthermore, the complainant noted that it is only in certain cases that the processing of personal data for direct marketing can be considered to be carried out in legitimate interest. The complainant finally

noted that it has been to Telmore's advantage, not the complainant's, that the personal data has been disclosed. The complainant further stated that Telmore has transferred personal data to a third country, as Meta Ireland processes the information in the USA. The complainant noted that the USA is not a safe third country, as the Schrems II ruling invalidated the previous Privacy Shield arrangement.

Regarding Telmore's compliance with the obligation to provide information, the complainant stated that he has not been able to read what is required under Article 13, paragraph 1, letters e and f, as well as paragraph 2, based on the information he has received. The complainant further indicated that it was not pointed out that this processing occurred after his first inquiry. Finally, regarding his request for insight, the complainant stated that Telmore did not inform him that his personal data was transferred to a third country in connection with his request, even though this was explicitly inquired about.

2.2. Telmore's Remarks

Telmore has generally stated that the company has provided the complainant's email address to Meta Ireland, which is Telmore's data processor, for the purpose of excluding the complainant from Telmore's advertising on Facebook. This has been done via a hash encryption, which, unlike regular encryption, is a one-way function. The hashed data cannot be recreated by unlocking it with a key, as can be done with encrypted data.

Telmore further stated that the company has processed the complainant's email address based on the balancing of interests rule in Article 6, paragraph 1, letter f of the General Data Protection Regulation, as both customers and Telmore have a significant interest in ensuring that customers are not subjected to unnecessary advertising messages.

Furthermore, Telmore stated that Meta Ireland is based in the EU, which means that there is no transfer of personal data to a third country. According to Telmore, there may be a transfer of personal data from Meta Ireland to Meta Platforms Inc. in the USA, but the company has not specified when this is or may be the case. In such a case, the transfer basis according to Telmore is the EU Commission's standard contracts.

Regarding the obligation to provide information, Telmore stated that it has informed the complainant about the processing related to targeted advertising on social media through their privacy notice. In this connection, Telmore referred to the following excerpt in the privacy notice:

"Step 3: I use

Step 3: 'I use' covers four areas:

I use, which concerns the processing of the information that arises when you use a product or service.

I pay, which concerns paying for the use of the product or service (billing).

I have a problem, which concerns providing you with support if you experience problems with the product or service.

I share, which concerns any action that..."

involve social media, e.g., Facebook.

(...)

I share

(...)

We also use social media to target advertising to you. The information we typically use for this purpose includes your email address, the Telmore products or services you have, e.g., your consumption of music via Telmore's services, as well as user identifiers in connection with your use of our digital communication channels (...) In other support cases, the processing is based on a balancing of interests, where we weigh our interest in processing your personal data against the consideration of protecting your privacy. A similar balancing of interests is the basis for our targeted advertising via social media." (Telmore's emphasis)

It follows from this that Telmore collects the complainant's information through the products or services that the complainant has, and user identifiers in connection with the complainant's use of Telmore's communication channels. It further appears that the purpose of this is to target marketing.

Finally, regarding the company's handling of the complainant's request for access, Telmore has stated that it has complied with Article 15 of the General Data Protection Regulation.

In this context, Telmore has informed that the company received the complainant's first request for access on January 15, 2021, and responded to the request on February 15, 2021. In its response of February 15, 2021, Telmore referred to the company's privacy notice and provided information about rectification, restriction, deletion, objection, and complaint access, among other things.

Telmore then received a new request from the complainant on August 12, 2021, which Telmore responded to on August 27, 2021. In the response of August 27, 2021, Telmore stated, among other things, that Telmore shared the complainant's email with Meta Ireland based on the balancing of interests rule, and that Telmore had conducted a renewed assessment, cf. Article 21, paragraph 1 of the regulation, after which the complainant's email address would no longer be shared with Meta Ireland.

3. Justification for the Data Protection Authority's decision

3.1. Role distribution

The Data Protection Authority initially assumes that Telmore has disclosed the complainant's email address to Meta Ireland for the purpose of excluding the complainant from Telmore's targeted marketing on Facebook. The Data Protection Authority understands that this has occurred using Facebook's Custom Audience tool, which allows Telmore to configure its marketing on Facebook so that certain registered users on Facebook do not receive targeted advertising for Telmore. This is done by Telmore disclosing identification information (e.g., email address) to Meta Ireland, which is then matched with Meta Ireland's own information on registered users. Telmore has stated that the company is the data controller and that the information has been entrusted to Meta Ireland as a data processor for Telmore.

According to the European Data Protection Board's ("EDPB") guidelines 8/2020 on targeting users of social media, the following is stated about "list-based targeting" [3]:

"Targeting may also include data that the data subject has provided to the sender, which then uses the collected data to target the data subject on social media. 'List-based' targeting occurs, for example, when a sender uploads already existing lists of personal data (such as email addresses or phone numbers) so that the provider of the social media can match the personal data against information on the platform. In this case, the provider of the social media compares the data uploaded by the sender with user data that the provider already possesses, and all users that match are added to or excluded from the target group (i.e., the 'cluster' of people to whom the advertisement will be shown on the social media platform). The provider of the social media may also allow the sender to 'review' the list before it is finalized, meaning that some processing takes place even before the target group has been created.

[The sender acts] as the data controller because it determines the purpose and means of the processing by actively collecting, processing, and disclosing personal data about the individuals concerned to the provider of the social media for advertising purposes. The provider of the social media, in turn, acts as a data controller because it has decided to use personal data obtained from the user of the social media (i.e., the email address the user provided when creating their account) to enable the sender to display advertisements to a target group consisting of specific individuals. There is joint data control in connection with the processing activities for which the provider of the social media and the sender jointly determine the purposes and means, in this case to upload unique identifiers regarding the intended target group, matching, selection of targeting criteria, and subsequent display of the advertisement as well as any reporting regarding the targeting campaign [68].

[Footnote 68] [...] By uploading the list of email addresses and setting additional targeting criteria, the sender defines the criteria according to which the targeting takes place and identifies the categories of individuals whose personal data will be used. The provider of the social media also decides which personal data will be processed by allowing which categories of information will be handles, which targeting criteria shall be offered, and who shall have access to (which types of) personal data processed in connection with a specific targeting campaign. The common purpose underlying these processing activities resembles the purpose stated in example 1, namely displaying a specific advertisement to a group of individuals (in this case, social media users) that constitutes the target audience." It is the Data Protection Authority's assessment that Telmore and Meta Ireland both

determine the purpose of and the means for the processing of the complainant's email address.

The purpose of processing the information is that the complainant does not receive targeted advertising from Telmore on Facebook. This is achieved by Telmore enabling Meta Ireland to match its own registered information with the complainant's email address, which Telmore provides. This is done to ensure that Telmore's customers are not subjected to "unnecessary advertising messages." It also contributes to the efficiency of advertising on Facebook for Meta Ireland, as Facebook users are thereby more likely to be presented with advertisements that are individually relevant to each user.

Furthermore, Telmore and Meta Ireland jointly decide on the means for processing the information. While Meta Ireland provides the technical infrastructure where the processing actually occurs, it is Telmore, using the settings provided by Meta Ireland, that determines the precise criteria for how the email address in question should be processed – in this case, to ensure that the complainant does not receive targeted marketing from Telmore on Facebook. Overall, the Data Protection Authority therefore finds grounds to set aside Telmore's assessment that Meta Ireland processes personal data on behalf of and at the instruction of Telmore as a data processor.

It is the Data Protection Authority's assessment that Telmore and Meta Ireland are joint data controllers for the disclosure and collection of the complainant's email, the matching of the relevant identifier (email address), the selection of targeting criteria, and the subsequent failure to display marketing from Telmore to the complainant.

3.2. Legal Basis for Processing

Telmore has stated that the disclosure and processing of the complainant's email address occurred based on Article 6(1)(f) of the General Data Protection Regulation, as the company has referred to its legitimate interest in ensuring that customers are not subjected to unnecessary advertising messages. The complainant has countered that information he provided in connection with establishing a mobile subscription cannot reasonably be expected to be shared with third parties.

Article 6(1)(f) of the General Data Protection Regulation contains three cumulative conditions for the processing of personal data to be lawful. First, the data controller must identify a legitimate interest. Second, the processing of personal data must be necessary to pursue that interest. Third, it must be ensured that the interests or fundamental rights of the data subject do not override the pursued legitimate interest.

It is stated in Recital 47 of the Regulation that processing of personal data for direct marketing purposes may be considered to be carried out in legitimate interest.

The Data Protection Authority finds that there is no basis to set aside Telmore's assessment that the company has a legitimate interest in organizing its marketing in the best possible way, and that the processing and disclosure of the complainant's email address in this instance has been necessary to pursue this interest, particularly to ensure that the complainant did not receive marketing from the company on Facebook. The question is therefore particularly to what extent the balancing of Telmore's legitimate interest against the complainant's interest in not being subject to the processing in question leads to the conclusion that the processing could not occur under Article 6(1)(f) of the Regulation.

From the Data Protection Authority's guidance on direct marketing, p. 12, the following is stated, among other things: "Once you have identified the interests and fundamental rights of the data subjects at stake, you must weigh your legitimate interest in conducting direct or indirect marketing against the interests and rights of the data subjects. This is a holistic assessment, where you must consider, among other things:

- The strength or intensity of the legitimate interest,
- The consequences for the data subjects of your processing of their information,
- What the data subjects can reasonably expect in the situation,
- The status of the data subject, e.g., child, elderly, or other vulnerable person,
- The nature of the personal data,
- The manner in which the information is processed, and

- Whether you have established additional privacy-enhancing measures, e.g., pseudonymizing the information."

Furthermore, the following is stated in the EDPB's guidelines on targeting social media users: "[The sender may] possibly invoke legitimate interests as a justification for the processing, including by referring to that a) [the data subject] was informed that his email address could be used for advertising services related to those he is already using via social media, b) the advertisement concerns services similar to those [the data subject] is already using as a customer, and c) [the data subject] was given the opportunity to object prior to the processing at that time, where the bank collected the personal data. However, the Data Protection Council wishes to clarify that the fulfillment of the information obligations under Articles 13 and 14 of the GDPR and the balancing of interests that must be carried out under Article 6, paragraph 1, letter f) of the GDPR are two different sets of obligations. The mere fulfillment of the information obligations under Articles 13 and 14 of the GDPR is therefore not a transparency measure that should be considered in the balancing of interests under Article 6, paragraph 1, letter f) of the GDPR.

Telmore has stated that the company informs on its website that it shares customers' email addresses with social media providers for the purpose of direct marketing, and that this is done with reference to the company's legitimate interest in targeting advertisements via social media. Telmore has further stated that the company actively referred to its privacy policy in its response to the complaint dated February 15, 2021, where the company responded to the complainant's request for access.

Telmore has also specifically stated regarding the complainant's email address that the information was shared with reference to the company's significant legitimate interest in ensuring that customers are not subjected to unnecessary advertising messages. The complainant has stated that he was not informed, when he registered as a customer with Telmore, that information about his email address would be shared with Meta Ireland.

The Data Protection Authority assumes based on the information in the case that Telmore, as part of its general privacy notice on its website, informs that the company shares customers' email addresses with social media providers for the purpose of direct marketing. However, the company has not specifically informed the complainant, for example, as part of the customer registration or similar, that his email address would be shared with third parties.

For the data subject to be said to have a reasonable expectation that their information will be used for direct marketing—which in this situation could lead to the balancing of opposing interests falling in favor of the company—it is, in the opinion of the Data Protection Authority, a prerequisite that the company takes additional steps to inform the data subject about the processing of personal data in question. This could, for example, be as part of ordering a product or creating a customer profile. At the same time, the data subject must be informed of the right to object to the processing. In the opinion of the Data Protection Authority, it is not sufficient for a company to merely refer to the fact that the necessary information is included in the company's general privacy policy or similar.

In line with the guidelines of the European Data Protection Board, the Data Protection Authority believes there is a difference between merely observing the obligation to inform under Article 13 of the Data Protection Regulation and taking any additional privacy-promoting measures to ensure that the balancing of interests under Article 6, paragraph 1, letter f) falls in favor of the company. It is the opinion of the Data Protection Authority that the data subject generally has a reasonable expectation that personal data provided as part of a customer relationship will not be shared with other data controllers for the purpose of direct marketing, including to social media providers.

This does not mean that a company is obligated to obtain the data subject's consent. The processing of the information in question can occur based on a balancing of interests. However, this requires that the company takes additional measures to ensure that the data subject is specifically made aware that the information will be used for direct marketing, that the information for direct marketing purposes is shared with social media providers, what information is involved, and that the data subject always has the opportunity to object to the processing in question.

After a comprehensive assessment, the Data Protection Authority finds that the sharing and processing of the complainant's email address could not take place within the framework of Article 6, paragraph 1, letter f) of the Data Protection Regulation. It is the Data Protection Authority's assessment that Telmore has pursued a legitimate and necessary interest in conducting direct marketing and a legitimate interest in ensuring that the company's customers are not subjected to unnecessary advertising messages.

In contrast, there is the consideration for the complainant, as the processing of personal data has an impact on the data subject. This impact, which can be both positive and negative, can also include purely emotional effects, such as irritation, fear, and anxiety, which may arise if the data subject loses control over their personal data. The Data Protection Authority has conducted a specific balancing of the stated (opposing) interests and finds on that basis that the complainant's interest in not having their email address shared and processed weighs more heavily than Telmore's legitimate interest in carrying out the aforementioned marketing activities. In this connection, the Data Protection Authority has particularly emphasized that the complainant in a situation like the one described must be assumed to have a justified expectation that information provided as part of establishing a customer relationship is, as a rule, not shared with third parties for marketing purposes. Furthermore, the Data Protection Authority has emphasized that Telmore does not appear to have implemented additional measures to ensure, among other things, increased transparency that could lead to the balancing of interests falling in favor of the company.

Finally, the Data Protection Authority has noted that Telmore has ceased sharing the complainant's email address with Meta in connection with the complainant's objection to the processing. Ireland.

3.3. Other Complaint Points

The complainant has, in addition to the above, complained that (ii) his personal data has been transferred to the USA, that (iii) Telmore has not informed him about the disclosure and transfer, and that (iv) Telmore has not adequately responded to his request for access.

It is a crucial prerequisite for complying with data protection regulations that one correctly identifies and assesses one's own role in the processing of personal data. This also applies to the distribution of roles with any partners. This includes the rules on the duty to inform under Article 13 of the Regulation, the rules on the right of access under Article 15, as well as the rules on the transfer of personal data to third countries under Chapter V.

As stated in section 3.1. above, the Data Protection Authority finds that there is grounds to exceptionally set aside Telmore's assessment that Meta Ireland processes personal data on behalf of and at the instruction of Telmore as a data processor.

It is the Data Protection Authority's assessment that Telmore and Meta Ireland are joint data controllers for the disclosure and collection of the complainant's email, the matching of the relevant identifier, the selection of targeting criteria, and the subsequent failure to display marketing from Telmore to the complainant.

It follows from Article 57(1)(f) of the General Data Protection Regulation that the Data Protection Authority must handle complaints submitted by a data subject and, where appropriate, investigate the subject matter of the complaint.

Based on the fact that the Data Protection Authority sets aside Telmore's assessment of the distribution of roles between the company and Meta Ireland, the Authority finds that it is not appropriate to continue the investigation into Telmore's compliance with the rules on the duty to inform, the right of access, and the transfer of personal data to third countries.

When the Data Protection Authority has decided to discontinue the investigation of these matters, it is because the Authority has made an assessment of what could potentially be achieved by a continued investigation of the case, including to what extent it could specifically assist the complainant, or whether a continued investigation of the case would generally be suitable for raising the level of data protection.

In this context, the Data Protection Authority has particularly emphasized that the fundamental

prerequisite for a correct observation of these rules, especially the distribution of roles between Telmore and Meta Ireland, has been set aside. A continued investigation of these matters would therefore not specifically be suitable to assist the complainant, e.g., in obtaining correct information about how the data is processed. The Data Protection Authority has furthermore emphasized that Telmore no longer shares the complainant's email address with Meta Ireland, and that a continued investigation of these matters is therefore also not suitable for raising the level of data protection. If Telmore still expects to use the relevant tool from Meta Ireland to process personal data, e.g., for targeted marketing, the Data Protection Authority emphasizes that Telmore must ensure that there is an arrangement for joint data responsibility, cf. Article 26 of the Regulation, which transparently establishes the parties' respective responsibilities for compliance with the obligations in the General Data Protection Regulation. This includes, among other things, the rules on the duty to inform, the rules on the right of access, and the rules on the transfer of personal data to third countries. Regarding joint data controllers and the transfer of personal data to third countries, the Data Protection Authority can also refer to the Authority's decision regarding BoligPortal.dk ApS.

[1] Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

[2] Judgment of the Court of Justice of the European Union of 29 July 2019 in case C-40/17, Fashion ID.

[3] Guidelines 8/2020 of the European Data Protection Board on targeting of social media users, p. 20f.

[4] Judgment of the Court of Justice of the European Union of 5 June 2018 in case C-210/16, Wirtschaftsakademie, paragraphs 36-37.

[5] Guidelines 8/2020 of the European Data Protection Board on targeting of social media users, p. 22.

[6] Decision of the Data Protection Authority of 20 April 2023 regarding BoligPortal.dk ApS in case no. 2021-7329-0052: <https://www.datatilsynet.dk/afgoerelser/afgoerelser/2023/apr/alvorlig-kritik-og-paabud-til-boligportal-for-brug-af-facebook-business-tools>